To calculate the ***growth rate*** of an economic variable the difference between the concerned period is converted into percentage form. For example, if a dairy farm owner produced 100 litres of milk last month and 105 litres in the following month, his dairy has a growth rate of 5 per cent. Similarly, we may calculate the growth rate of an economy for any given successive periods. Growth rate is an ***annual concept*** which may be used otherwise with the clear reference to the period for which it is used.

Though growth is a value neutral term i.e. it might be positive or negative for an economy for a period, we generally use it in the positive sense. If economists say an economy is growing it means the economy is having a positive growth otherwise they use the term '***negative growth***'.

Economic growth is a widely used term in economics which is useful in not only national level economic analyses and policy making but also highly useful in the study of comparative economics. International level financial and commercial institutions go for policy making and future financial planning on the basis of the growth rate data available for the economies of the world.

ECONOMIC DEVELOPMENT

For a comparatively longer period of time after the birth of economics, economists remained focused on the aspects of expanding the quantity of production and income of a country's economy. The main issue economists discussed was—how to increase the quantity of production and income of a kingdom or a nation-state. It was believed that once an economy is able to increase its production its income will also increase and there will be an automatic betterment (quality increase) in the lives of the people of the economy. There was no conscious discussion over the issue of quality expansion in the people's lives. Economic growth was considered as a cause and effect for the betterment of lives of the people. This was the reason why economists till the 1950s failed to distinguish between growth and development though they knew the difference between these terms.

It was during 1960s and in the later decades that economists came across many countries where the growth was comparatively higher but the quality